



CHAPTER xiv.

An Act to rearrange the capital of the Lancashire Power Construction Company Limited and for other purposes. A.D. 1917.
[10th July 1917.]

WHEREAS by the Lancashire Electric Power Act 1900 the Lancashire Electric Power Company (in this Act called "the Power Company") was incorporated and was authorised (inter alia) to acquire lands and to erect generating stations and other works and to supply electricity within an area in the county of Lancaster in the said Act more particularly described:

And whereas by the said Act it was declared that the capital of the Power Company should be three million pounds in three hundred thousand shares of ten pounds each and that the Power Company might borrow on mortgage or by the creation and issue of debenture stock any sum or sums not exceeding in the whole one third-part of the amount of capital by the said Act authorised to be raised and at the time actually issued by shares or stock but that no part thereof should be borrowed until the whole of the shares or stock at the time issued should have been fully paid up:

And whereas by the Lancashire Electric Power Act 1904 and the Lancashire Electric Power Act 1906 further powers other than capital powers were conferred upon the Power Company:

And whereas in the year one thousand nine hundred and three the Lancashire Power Construction Company Limited (in this Act called "the Company") was incorporated as a company limited by shares under the Companies Acts 1862 to 1900 with the object (inter alia) of undertaking the erection and laying

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A.D. 1917. down of generating stations and buildings electrical mains and other works in the said area of supply of the Power Company for the purposes of the exercise and carrying out by the Power Company of the powers and duties conferred and imposed upon the Power Company by the said Acts:

And whereas the share capital of the Company is three hundred thousand pounds divided into eighteen thousand "A" shares of ten pounds each and twelve thousand "B" shares of ten pounds each:

And whereas the said eighteen thousand "A" shares have all been issued and are fully paid up and eleven thousand eight hundred and thirty-six of the said "B" shares have been issued and are fully paid up:

And whereas the Company has issued fifteen hundred prior lien bonds of one hundred pounds each carrying interest at the rate of five pounds per centum per annum thirty of which bonds have been redeemed by the Company and fourteen hundred and seventy of which are now outstanding and are subject to a call for the final instalments payable in respect thereof to the amount of thirteen thousand one hundred and twenty-five pounds:

And whereas the Company has also issued and there is now outstanding one hundred and fifty thousand pounds first mortgage debenture stock carrying interest at the rate of five pounds per centum per annum and ranking next after the said prior lien bonds and has also issued and there is now outstanding one hundred and seventy-five thousand pounds income debenture stock:

And whereas the said "A" and "B" shares of the Company are entitled to one-fourth of the net profits of the Company and rank *pari passu* as regards distribution of profits but the said "A" shares are entitled in any winding-up of the Company to priority as regards capital as against the said "B" shares:

And whereas the said income debenture stock is entitled to three-fourths of the net profits of the Company after payment of interest on the said prior lien bonds and first mortgage debenture stock and in the event of the winding up of the Company is repayable next after payment of other debts and liabilities of the Company and the costs and expenses of any such winding-up:

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And whereas the Power Company has created and issued forty-nine thousand fully-paid shares of ten pounds each and a first mortgage debenture for ninety thousand pounds carrying interest at the rate of five pounds per centum per annum all of which shares and which mortgage debenture are held by the Company:

And whereas the moneys raised by the Company have enabled the Power Company to develop the said undertaking of the Power Company authorised by the Lancashire Electric Power Acts 1900 to 1906 and the said undertaking is now affording a large supply of electrical energy within the said area of supply in the said Acts mentioned:

And whereas the revenue of the Power Company is now upwards of forty thousand pounds a year and the Power Company is paying interest on the said mortgage debenture and dividends on the said forty-nine thousand shares so issued by them as aforesaid:

And whereas largely increased demands have been made upon the Power Company for electricity by establishments engaged in the manufacture of munitions of war and in the production of other articles required for the purposes of the war and further demands are being made upon the Power Company for additional supplies of electricity for these and other similar establishments and by owners of collieries in the said area desiring a supply of power for the purposes of such collieries and for the development of other coalfields in the said area:

And whereas to ensure the continuance of the supplies which the Power Company is now affording and to enable the Power Company to afford such further supplies it is necessary for the Power Company to provide additional machinery and to lay down additional mains and other works:

And whereas further capital is needed to enable the Power Company to provide such additional machinery and to lay down such additional mains and other works and the Power Company has applied to the Company to furnish it with such further capital:

And whereas the Company is unable at the present time to raise such further capital under its existing conditions in that behalf:

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And whereas it is expedient for the purpose of enabling the Company to raise further capital that the said "A" and "B" shares and income debenture stock of the Company should be converted as provided by this Act and that the rights of the holders of such stock and shares inter se should be modified or varied in manner by this Act provided:

And whereas the proposals contained in the Bill for this Act have been approved by resolution passed at separate meetings of the holders of the said "A" and "B" shares and of the said income debenture stock respectively:

And whereas the objects of this Act cannot be attained without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

Short title.

1. This Act may be cited as the Lancashire Power Construction Company Limited Act 1917.

Conversion
of "A" and
"B" shares.

2.—(1) As on such first day of April or first day of October not being earlier than the first day of April one thousand nine hundred and seventeen as the directors of the Company may determine the eighteen thousand "A" shares of ten pounds each and the eleven thousand eight hundred and thirty-six "B" shares of ten pounds each in the capital of the Company which have already been issued by the Company shall be converted into sixty-four thousand eight hundred and thirty-eight ordinary shares of one pound each all of which ordinary shares shall be credited for all purposes as fully paid up. Provided that no such conversion of shares as is provided for by this section shall take place during the continuance of the present war and twelve months thereafter unless the consent of the Treasury has been previously obtained thereto.

(2) The sixty-four thousand eight hundred and thirty-eight ordinary shares resulting from the conversion provided for by this section shall subject to the provisions of this Act belong to and be vested in and registered in the names of the persons who are respectively at the date of such conversion the holders of the said "A" and "B" shares in the proportions following (that is to say):—

Every such holder of any such "A" shares shall be entitled A.D. 1917.
to an amount of the ordinary shares resulting from such
conversion equivalent to twenty-five and one-half per
centum of the nominal value of the "A" shares held by
him;

Every such holder of any such "B" shares shall be entitled
to an amount of the ordinary shares resulting from such
conversion equivalent to sixteen per centum of the nominal
value of the "B" shares held by him.

(3) The said holders of such "A" and "B" shares shall so
soon as the conversion provided for by this section shall take
place deliver up to the Company for cancellation the certificates
of their respective "A" and "B" shares and in exchange therefor
shall be entitled to have issued to them free of charge certificates
of the ordinary shares so vested in them under the provisions
of this section.

(4) The one hundred and sixty-four unissued "B" shares
in the capital of the Company shall by virtue of this Act be
cancelled and extinguished as from the date of the passing of
this Act.

3.—(1) As on such first day of April or first day of October
not being earlier than the first day of April one thousand nine
hundred and seventeen as the directors of the Company may
determine the one hundred and seventy-five thousand pounds
income debenture stock of the Company shall be converted into
eighty-seven thousand five hundred ordinary shares of one pound
each and eighty-seven thousand five hundred preference shares
of one pound each all of which shares shall be credited for all
purposes as fully paid up Provided that no such conversion of
income debenture stock as is provided for by this section shall
take place during the continuance of the present war and twelve
months thereafter unless the consent of the Treasury has been
previously obtained thereto.

Conversion
of income
debenture
stock.

(2) The said preference shares shall confer a right to a fixed
cumulative preferential dividend at the rate of seven pounds per
centum per annum and a right to a dividend equivalent to any
dividend at any greater rate than the rate of seven pounds per
centum per annum paid in any year on the ordinary shares of the
Company but so that no such preference share shall in any case
confer any right to a dividend at any rate exceeding the rate of

A.D. 1917. ten pounds per centum per annum Such preference shares shall rank as regards return of capital in priority to the ordinary shares in the capital of the Company but shall not confer the right to any further participation in profits or assets of the Company other than the rights hereinbefore mentioned in this section.

(3) The eighty-seven thousand five hundred ordinary shares and the eighty-seven thousand five hundred preference shares resulting from the conversion of income debenture stock provided for by this section shall subject to the provisions of this Act belong to and be vested in and registered in the names of the persons who are respectively at the date of such conversion the holders of the said income debenture stock in the proportion of one such ordinary share and one such preference share for every two pounds of such income debenture stock.

(4) The said holders of such income debenture stock shall so soon as the conversion provided for by this section shall take place deliver up to the Company for cancellation the certificates of their respective holdings of such income debenture stock and in exchange therefor shall be entitled to have issued to them free of charge certificates of the ordinary and preference shares vested in them under the provisions of this section.

Notice of increase of capital to Registrar of Joint Stock Companies.

4. The Company shall within a month after the conversion provided for by the section of this Act of which the marginal note is "Conversion of income debenture stock" file with the Registrar of Joint Stock Companies a notice of any increase of share capital effected by this Act and shall pay to the registrar the like fees as would be payable under the Companies (Consolidation) Act 1908 on the registration of a notice of increase of nominal share capital.

Company may increase capital.

5.--(1) From and after the conversion of the "A" and "B" shares provided for by this Act no shares shall be created to rank *pari passu* with the ordinary shares resulting from such conversion which will make the nominal amount of the ordinary shares in the capital of the Company exceed two hundred and fifty thousand pounds unless with the authority of an extraordinary resolution passed at a separate meeting of the holders of ordinary shares in the capital of the Company for the time being issued.

(2) From and after the conversion of the income debenture stock provided for by this Act no shares shall be created with

priority as to capital or in the distribution of profits or otherwise over the preference shares resulting from such conversion and no shares shall be created to rank *pari passu* with such preference shares which will make the amount of the preference shares in the capital of the Company exceed two hundred and fifty thousand pounds unless the holders of the preference shares in the capital of the Company for the time being issued shall consent to the creation of such shares with such priority or ranking *pari passu* as aforesaid by an extraordinary resolution passed at a separate meeting of such holders. A.D. 1917.

(3) The term "extraordinary resolution" where used in this section shall have the meaning assigned thereto by the Companies (Consolidation) Act 1908.

6. Notwithstanding anything contained in this Act the Company shall not under the powers of this Act raise or borrow any money during the continuance of the present war and twelve months thereafter unless the consent of the Treasury has been previously obtained. Restriction on raising or borrowing money.

7. In every case where under the foregoing provisions of this Act any holder of any of the said "A" or "B" shares or of any of the said income debenture stock is only entitled to a fractional part of an ordinary share or a fractional part of a preference share or his rights under such provisions comprise a right to a fractional part of an ordinary share or a fractional part of a preference share the Company shall not register such holder or issue to him a certificate of such fractional part but the directors shall dispose of any such ordinary share or preference share which but for this provision would have been distributed in fractions at the best price reasonably obtainable therefor and shall pay to such holder in cash an equivalent fractional part of the net proceeds received by the directors in respect of such sale and the posting of a cheque for such sum in cash or the tender of such sum in cash to such holder shall be a sufficient discharge to the Company in respect of such fractional part of such share. As to fractional parts of converted shares.

8. Subject to the provisions of this Act the ordinary shares substituted under the provisions of this Act for the said "A" and "B" shares and the ordinary shares and preference shares so substituted for the said income debenture stock shall respectively be held in the same rights on the same trusts and Rights &c. in substituted shares.

A.D. 1917. subject to the same powers provisions charges notices and liabilities as those in on or to which the "A" or "B" shares or income debenture stock for which they were substituted were held immediately before such substitution and so as to give effect to and not to revoke any deed will or other instrument or disposition disposing of or affecting such "A" or "B" shares or income debenture stock as the case may be and every such deed will instrument or disposition shall take effect with reference to the whole or any proportionate number as the case may be of the shares so substituted for such "A" or "B" shares or income debenture stock.

As to trustees &c. of shares in Company.

9. Trustees or executors or holders in any representative or fiduciary capacity of any "A" or "B" shares or income debenture stock shall accept the ordinary shares or the ordinary shares and cash substituted under the provisions of this Act for such "A" or "B" shares or the ordinary and preference shares or the ordinary and preference shares and cash so substituted for such income debenture stock and may respectively hold dispose of or otherwise deal with such substituted shares in all respects as they might have held disposed of or otherwise dealt with the "A" or "B" shares or income debenture stock for which such shares were so substituted and all such persons are hereby indemnified against all liabilities in respect of any acts bonâ fide done by them in pursuance of the provisions of this Act.

Directors to alter registers &c.

10. The directors shall cause to be made such alterations in the registers and other books and documents of the Company as may be required to bring the same into accord with the provisions of this Act.

Amendment of memorandum and articles of association.

11. The memorandum and articles of association of the Company shall be and are hereby amended to conform with the provisions of this Act.

Saving powers to increase or reduce capital &c. and to alter memorandum and articles of association.

12. Nothing in this Act contained shall—

- (1) Derogate from or abridge any powers of the Company under the Companies (Consolidation) Act 1908 or under its regulations to increase its capital and issue new shares or stock ranking in priority to or pari passu with or subsequently to any class of shares in its capital or to reduce its

capital or to consolidate or divide its shares or to convert shares in its capital into stock or to re-convert stock into shares; nor

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- (2) Prevent the Company from modifying or altering its memorandum or articles of association as hereby varied in accordance with or making any compromise or arrangement under the provisions of the Companies (Consolidation) Act 1908 or any Act amending the same.

13. Save as is in this Act expressly provided nothing in this Act contained shall prejudice alter or affect the memorandum or articles of association of the Company nor be deemed to invalidate any act done or proceedings pending by or against the Company before or at the passing of this Act.

Saving for memorandum and articles of association.

14. To every copy of the memorandum and articles of association of the Company supplied after the passing of this Act to any member under the provisions of section 18 of the Companies (Consolidation) Act 1908 there shall be annexed a copy of this Act which for the purposes of that section shall be treated as part of the memorandum and articles of association of the Company.

Copy of Act to be annexed to every copy of memorandum and articles of association.

15. The Company shall deliver to the Registrar of Joint Stock Companies a printed copy of this Act and he shall retain and register the same and if such copy is not so delivered within three months from the passing of this Act the Company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the default continues and any director or manager of the Company who knowingly and wilfully authorises such default shall incur the like penalty. Every penalty under this section shall be recoverable summarily.

Copy of Act to be registered.

There shall be paid to the registrar by the Company on such copy being registered the like fee as is for the time being payable under the Companies (Consolidation) Act 1908 on registration of any document other than the memorandum or the abstract required to be filed with the registrar by a receiver or manager or the statement required to be sent to the registrar by the liquidator in a winding up in England.

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Costs of
Act.

16. The costs charges and expenses preliminary to and of and incidental to the procuring obtaining and passing this Act or otherwise in relation thereto shall be borne and paid by the Company.

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